Personio: Seed Round or Another Year on Revenue

Updated: 2026-10-26.

MODULE 12 · FUNDRAISING & DEMO DAY · CASE, READ BEFORE CLASS

Case for Module 12, Fundraising & Demo Day, of Ambitious Entrepreneurship. Prepared by Bastian Burger from public sources as a basis for class discussion. The case does not judge whether any decision was right or wrong. Licensed under CC BY-NC-SA 4.0 except third-party material as marked.

In spring 2016, the four founders of Personio, a Munich company that sold web-based HR software to small and mid-sized firms, were looking for investors. By Ignaz Forstmeier's later account, he and his co-founders Hanno Renner, Roman Schumacher and Arseniy Vershinin had not paid themselves salaries for quite a while.[1] Until then the company had grown on what its customers paid. By the founders' later accounts, growth at the start had come through customer referrals, annual prepayments had financed the first months, and the company had grown to eight employees on its own revenue.[2] [3]

The question in front of the founders was whether to take outside money now, and from whom, or to keep growing on customers' money for another year. The sources give the season of that question, not the month.[1]

A spreadsheet problem

Renner recalled in 2017 that the idea came from his original co-founder Nino, who was the chief technology officer of another company and found it slow and tedious to keep track of staff data, holidays, absences, documents and deadlines in Excel lists. Nino built a prototype under another name. Renner said the founders then looked at the market and found that HR in many small and mid-sized companies was still run on paper and by hand.[3] The company's own account of 2018 describes the source of the idea as one of its shareholders, who had been responsible for staff at a previous employer.[2]

According to the company, the four founders had met in Munich at the Center for Digital Technology and Management (CDTM) and had each worked in start-ups before. They split IT, product development, sales and marketing among themselves.[2] The company said in 2018 that it had first built a minimum version of the product and developed features with pilot customers in a test phase of several months, and that it had founded its limited company once it saw that this worked.[2]

In September 2015, the website personio.de was run by Bladebyte UG (haftungsbeschränkt), a limited company in Oberhaching near Munich.[4] The site offered two plans (Exhibit 1). The Basis version, from EUR 59 a month, covered staff records, access rights, automatic notifications, holidays and sick days, the organisation chart, data import and export, and reports. The Professional version, from EUR 99 a month, added documents, performance management, on- and offboarding, time tracking, an applicant management system and a connection to more than 100 job boards. The page priced by the number of employees in ten bands up to 500 and showed only "from" prices. Larger firms were asked to request an individual offer. The page said there was no setup fee and no minimum contract term, and that customers could cancel at any time.[5] The site offered a German and English language switch.[5]

In December 2015, the home page called Personio "a young international company based in Munich that offers web-based HR administration software for small and mid-sized companies".[6]

Growing on customers' money

The company said in 2018 that it had its first ten customers in January 2016. "We grew quite fast at the start through referrals from customers and were able to finance ourselves well for the first months through annual prepayments," it wrote.[2] Munich Startup, a news site for the city's start-ups, reported in December 2016 that Personio had begun the year 2016 with about 20 customers.[1] The two counts differ (Exhibit 2). The price page of 2015 offered monthly plans without a minimum term, and the company's account of prepayments does not say how many customers paid a year in advance.[2] [5]

Renner described the cost side in 2017. "The advantage of software-as-a-service models is that costs are fairly low at first and you can generate revenue early at the same time. We all came straight from university and were used to getting by on little money." He said the company had grown to eight employees on its own revenue. The sources do not say whether the four founders count among the eight.[3] Forstmeier recalled that in this period the company had no marketing budget.[1] Munich Startup wrote in December 2016 that the consistently positive feedback of the first customers had kept the team confident during the search for investors.[1]

Personio's revenue, cash and monthly costs in spring 2016 were not published. No source gives what the company paid its employees or how long the money on hand would last.

The search for investors

Forstmeier described the spring of 2016 in an interview published that December. "When we were searching flat out for investors in the spring and could not pay ourselves salaries for quite a while, we started to sweat a little. Because fundraising is usually a full-time job for at least one founder. At the same time the young company had to keep growing every month without any marketing budget, so that the investors did not lose interest along the way."[1]

Renner recalled in 2021 that some of the investors the founders approached said no. He also recalled that early on some investors had told the founders that building a broad product was the wrong way and that they should first go deep in one area, while customers told the founders that they would rather have one broad tool.[7] The sources do not say which investors the founders approached, what any of them offered or on what terms.

The consultancy EY counted EUR 3.2 billion of venture capital invested in German start-ups in 2015, in 417 financing rounds for 383 companies. Berlin start-ups received EUR 2.24 billion of it, in 212 rounds.[8]

How big

Renner recalled in 2021 that at the start of 2016 the founders had set themselves a goal in a workshop, to build the leading solution for small and mid-sized companies in Europe.[7] Munich Startup in December 2016 and StartingUp in 2017 described the target customers as companies with 10 to 1,000 employees.[1] [3] Munich Startup named BambooHR, PeopleHR and Zoho People as the large

players in the market in December 2016 and wrote that there were 400,000 small and mid-sized companies in Germany alone that Personio could serve.[1] Exhibit 3 shows how many companies of each size Eurostat counted in Germany and in the European Union in 2013.[9]

Spring 2016

The founders had a product that customers had helped to shape, eight employees grown on revenue, growth by referral without a marketing budget, and no salaries of their own. Some investors had said no, and some wanted a narrower product than the one customers asked for. The goal the founders had set was Europe. They could keep raising, and choose from whom, or they could stop and grow another year on what customers paid.

Exhibit 1: Personio’s plans and list prices, September 2015

Plan	Price	What it included
Basis	From EUR 59 a month	Staff records, access rights, automatic notifications, holidays and sick days, organisation chart, data import, export and reports
Professional	From EUR 99 a month	Documents, performance management, on- and offboarding, time tracking and weekly plans, applicant management, connection to more than 100 job boards
Larger firms	Individual offer	For more than 500 employees

The page priced by the number of employees in ten bands (under 25, 50, 75, 100, 150, 200, 250, 300, 400 and 500) and showed “ab” (from) prices only. No setup fee, no minimum contract term.

Source: Personio price page, archived 18 September 2015, translated from German by the case writer, see note 5.

Exhibit 2: Personio’s size in early 2016, as later reported

Measure	Figure	Who said it, and when
Customers, January 2016	10	The company, in a profile published January 2018
Customers, start of 2016	About 20	Munich Startup, December 2016, from an interview with the founders
Employees grown on own revenue, month not given	8	Hanno Renner, in an interview published August 2017

The sources do not give revenue, cash or monthly costs for 2016.

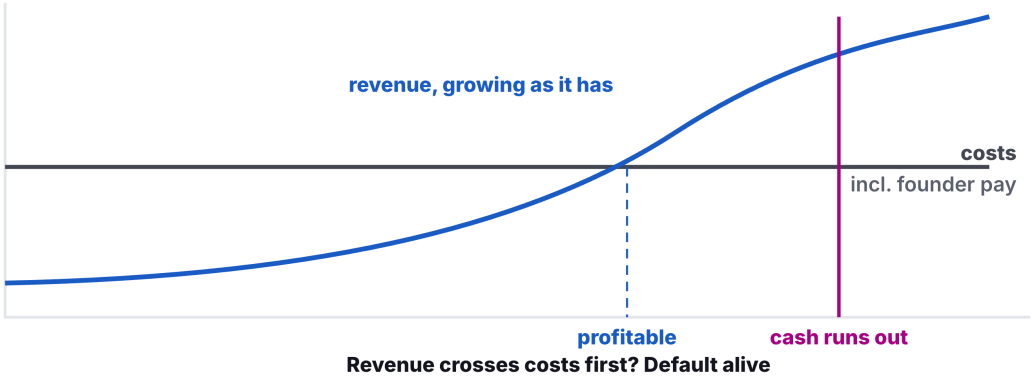
Source: compiled by the case writer from notes 1, 2 and 3.

Exhibit 3: Enterprises by number of people employed, Germany and the EU-28, 2013

People employed	Germany	EU-28
10 to 19	219,513	Confidential, not published
20 to 49	106,301	461,997
50 to 249	54,039	219,936
250 or more	10,719	43,719
20 to 249, case writer's sum	160,340	681,933

Enterprises in the business economy except finance and insurance (NACE sections B to N and division S95). Values for 2013 as published in the dataset update of 1 March 2024. They may differ slightly from the values available in 2016.

Source: Eurostat, structural business statistics by size class, see note 9.



Revenue, growing as it has, against costs, and the month the cash runs out.

Endnotes

1. Regina Bruckschlögl, “Porträt Personio”, Munich Startup, 1 December 2016, interview with the four founders, https://www.munich-startup.de/16861/portraet-personio/, accessed 2026-10-26. Forstmeier’s quotation and the December 2016 statements are translated from German by the case writer. The article was published after the events of this case.
2. Personio, company profile in Gründerküche (“Gründerstory Personio”), published 2 January 2018, https://www.gruenderkueche.de/gruendertalk/gruenderstory-personio-schnell-wachsendes-startup-im-schnell-wachsenden-markt-bewerbermanagement-und-personalverwaltung, accessed 2026-10-26. Unsigned, written in the company’s voice. Quotation translated from German by the case writer.
3. Hanno Renner, interviewed in “Gründer der Woche: Personio”, StartingUp, Gründer der Woche 34/17 (August 2017), https://www.starting-up.de/news/gruender-der-woche/personio.html, accessed 2026-10-26. Quotations translated from German by the case writer. A recollection told about a year and a half after the events.
4. Personio, imprint of personio.de, Internet Archive capture of 17 September 2015, http://web.archive.org/web/20150917235623/http://www.personio.de:80/impressum, accessed 2026-10-26. Bladebyte UG (haftungsbeschränkt), Oberhaching, Amtsgericht München HRB 213189.
5. Personio, price page of personio.de, Internet Archive capture of 18 September 2015, http://web.archive.org/web/20150918012601/http://www.personio.de:80/preise, accessed 2026-10-26. The language switch appears on the same capture.
6. Personio, home page of personio.de, Internet Archive capture of 8 December 2015, http://web.archive.org/web/20151208161637/https://www.personio.de/, accessed 2026-10-26. Translated from German by the case writer.
7. Hanno Renner, interviewed in the deutsche-startups.de podcast, Interview #21, 12 May 2021, at about 0:07:45 to 0:09:11, podcast feed http://feeds.soundcloud.com/users/soundcloud:users:473431884/sounds.rss, accessed 2026-10-26. Paraphrased from a machine transcript of the German audio. A recollection told five years after the events.
8. Regina Bruckschlögl, “Startup Barometer: Immer mehr deutsche Startups bekommen frisches Kapital”, Munich Startup, 16 March 2017, report on EY’s Start-up-Barometer, https://www.munich-startup.de/news/immer-mehr-deutsche-startups-bekommen-frisches-kapital, accessed 2026-10-26. The case uses only the figures for 2015.
9. Eurostat, “Annual enterprise statistics by size class for special aggregates of NACE Rev.2 activities” (sbs_sc_sca_r2), enterprises (number), Germany and EU-28, 2013, dataset updated 1 March 2024, https://ec.europa.eu/eurostat/api/dissemination/statistics/1.0/data/sbs_sc_sca_r2?geo=DE&geo=EU28&time=2013&indic_sb=V11110&nace_r2=B-N_S95_X_K&format=JSON&lang=EN, accessed 2026-10-26.